Sycamore Square — Feasibility Study: Operator View by Business

Public version · 18 Oct 2026

> **The purchase price is left out of every number in this version.**

Summary

Run as businesses, the two halls and the kids' playground can pay for themselves; one hall alone and the fuel station barely do. At realistic numbers the two halls make about $445k a year after their share of the building's costs, and earn back their $4.35M fit-out in about 10 years. The playground operator makes about $193k a year after rent and earns back its $1.1M in about 5.7 years. Hall A alone makes about $59k a year, and a fuel company would earn only about $4 a year for every $100 it spends to build.

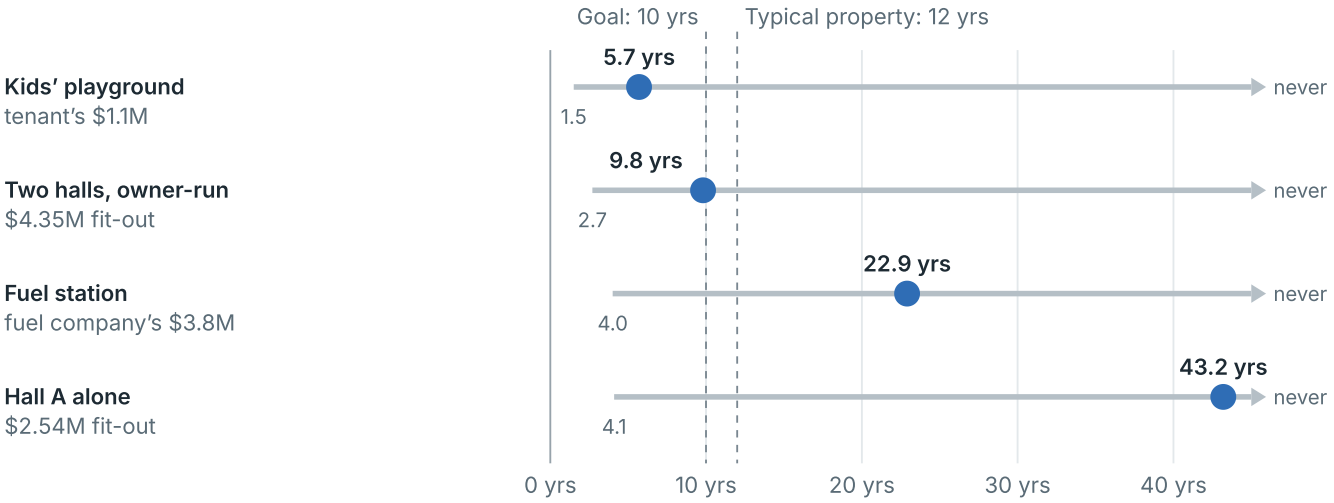
Business	Money to start it	Sales a year	Profit a year, realistic	Profit a year, worst / best
Two halls, run by the owners	$4.35M fit-out	$2.47M	$445k after building costs	−$607k / $1.18M
Hall A alone (hybrid, first phase)	$2.54M fit-out	$1.12M	$59k after building costs	−$437k / $444k
Kids' indoor playground, run by a tenant	$1.1M, paid by the operator	$1.10M	$193k after rent	−$6k / $517k
Fuel station, built by a fuel company	$3.8M, paid by the fuel company	$1.74M store sales plus fuel	$166k after ground rent	−$208k / $697k
Typical 1,500 SF shop tenant	Its own fit-out	Needs about $247k	Depends on the shop	

Profit here is before any loan payments. "Building costs" means each business's share of the building's property tax, insurance and upkeep. The building itself and the base building work are covered in the Four Development Options and Landlord View docs.

How fast each business earns back its own money

The playground and the two halls earn back their money fastest

Years for each business to earn back its own start-up money. Dot = realistic; line runs from best to worst case.



Sycamore Square model v2.3, each business on its own, worst / realistic / best · 18 Oct 2026

In the worst case none of them earns its money back. In the realistic case Hall A alone takes about 43 years and a fuel station about 23, far past the 12 years of a typical investment property.

Two halls run by the owners

At 220 events a year, about two a week in each hall, the halls take in about $2.47M and keep about $445k after their share of the building's costs. They break even at about 139 events a year. Most of the money comes from catering and Saturday rentals; weekday events mostly cover staff.

What the halls book	Worst	Realistic	Best
Events a year, both halls	120	220	260
Average room rental per event	$2,750	$4,750	$5,750
Guests per event	250	350	380
Events catered in-house, and price per guest	35% at $25	55% at $32	60% at $35
Kitchen fee when a family brings its own caterer	$500	$750	$1,000

Money in and out each year	Worst	Realistic	Best
Room rental	$330k	$1.05M	$1.50M
Catering	$263k	$1.36M	$2.07M
Kitchen fees from outside caterers	$39k	$74k	$104k
Sales	**$632k**	**$2.47M**	**$3.67M**
Food for catered events	$89k	$420k	$622k
Catering staff	$84k	$379k	$560k

Money in and out each year	Worst	Realistic	Best
Event-day staff: setup, cleaning, security	$144k	$220k	$247k
Card fees, marketing, supplies, repairs	$69k	$247k	$331k
Year-round staff	$420k	$380k	$370k
Utilities	$143k	$131k	$119k
Insurance	$60k	$50k	$45k
Leased tables, chairs and kitchen equipment	$70k	$60k	$50k
Running costs	**$1.08M**	**$1.89M**	**$2.34M**
Profit before building costs	**−$448k**	**$586k**	**$1.33M**
Halls' share of building tax, insurance and upkeep	$159k	$141k	$153k
Profit after building costs	**−$607k**	**$445k**	**$1.18M**
Fit-out paid by the owners	$5.85M	$4.35M	$3.16M
Events a year needed to break even, after building costs	418	139	100

The fit-out covers hall finishes, lighting and sound at $95 / $70 / $50 per SF, and the two kitchens (hoods, grease trap, walk-ins) at $400 / $300 / $225 per SF. Tables, chairs and kitchen equipment are leased.

The market supports the product:

- **Size.** Each 11,000 SF room seats about 650–700 at tables with a dance floor, stage and buffet; together the halls seat about 1,300–1,450. Two rooms let the venue host two events at once, one very large wedding across both rooms, or one coordinated event. The rooms are column-free once the 4 existing columns are removed.
- **Saturday prices.** A 400+ guest hall in Memphis rents for about $6,000–$9,000 on a Saturday. The Columns ballroom is $8,550 for 10 am to midnight. Esplanade Memphis packages run $7,200–$20,000, with a site fee from $2,900. Weekday rates run about half of Saturday's (Bartlett Oak Room rates).
- **Catering prices.** Esplanade buffets run $18–22 and plated meals $28–32 per guest, plus a 20% service charge. Marriott Memphis East lists $34–52 per person.
- **Profit levels.** Catering businesses sold in 2021–25 kept a median of about 23% of sales as profit (BizBuySell). The halls' realistic case keeps 24% before building costs.
- **Who books.** Weddings of every background, plus corporate, community and celebration events. Large Arab, Muslim and South Asian weddings are one customer base among several; for scale, Shelby County counted about 17,050 Muslim and 4,731 Hindu adherents in the 2020 US Religion Census (Stacker). The largest banquet halls listed in Jackson, Mississippi hold about 350 guests (Zola, Jackson MS), so very large weddings may also come from there.
- **Capacity cap.** Post capacities for seating at tables, about 1,470 for both halls together. Chairs-only ceremonies for 3,000 or more would push the building into a stricter earthquake-safety class (see the Landlord View risks).

Hall A alone (the hybrid's first phase)

One hall barely pays, because its year-round costs are almost as high as for two. At 100 events a year Hall A keeps only about $59k after its share of the building's costs. It needs about 89 events a year just to break

even. That is why the hybrid adds Hall B once Hall A books well.

Each year	Worst	Realistic	Best
Events a year	55	100	125
Sales	**$289k**	**$1.12M**	**$1.77M**
Food, catering staff and event-day staff	$145k	$463k	$687k
Card fees, marketing, supplies, repairs	$32k	$112k	$159k
Year-round staff, utilities, insurance and leased equipment	$453k	$405k	$384k
Profit before building costs	**−$341k**	**$144k**	**$536k**
Hall A's share of building tax, insurance and upkeep	$96k	$85k	$92k
Profit after building costs	**−$437k**	**$59k**	**$444k**
Fit-out paid by the owners (Hall A, Kitchen A, dining)	$3.43M	$2.54M	$1.84M
Events a year needed to break even, after building costs	269	89	65

Hall A covers 28,773 SF: the hall suite, Kitchen A, the reservable dining room and service space. Prices per event are the same as for two halls.

Kids' indoor playground, run by a tenant

An indoor playground (soft play, climbing and party rooms) is the steadiest business here. At $1.1M of sales the operator keeps about $193k a year after paying rent and its share of the building's costs, and it breaks even at about $675k of sales.

Each year	Worst	Realistic	Best
Sales	**$750k**	**$1.10M**	**$1.60M**
Staff	$240k	$319k	$416k
Supplies, marketing, repairs, card fees, insurance	$221k	$281k	$328k
Utilities	$50k	$45k	$41k
Management and other fixed costs	$130k	$120k	$110k
Profit before rent	**$109k**	**$336k**	**$706k**
Rent, at $3.00 / $4.50 / $7.50 per SF a year	$54k	$81k	$135k
Share of building tax, insurance and upkeep	$61k	$61k	$54k
Profit after rent	**−$6k**	**$193k**	**$517k**
Money the operator invests	$1.6M	$1.1M	$0.8M
Sales needed to break even	$765k	$675k	$635k

The investment matches Kids Empire's franchise disclosure: $803,750–$1,765,000 to open 15,000+ SF (Franzy). The least certain number is how much of its sales the operator keeps before rent: 31% here, while family entertainment centers with more staff often keep 15–22%. At 20%, profit after rent would fall to about $78k, and earning back the $1.1M would take about 14 years.

The opening is there, but not empty. Urban Air in Cordova charges $24.99 for unlimited play, with parties from $149.99 (parties). Larger active parks and a few smaller toddler open-play spots operate across the metro area, so this center must win on location and on private sessions for wedding guests' children.

Fuel station, built by a fuel company on a ground lease

A fuel company would build and run the station and pay the owners ground rent. At realistic volumes it keeps only about $166k a year after a $95k ground rent, on a $3.8M build: about $4 a year for every $100 it spends. So a deal is not assured, and the owners should not build or run the station themselves.

The fuel company's year	Worst	Realistic	Best
Gallons a month	60,000	100,000	140,000
Fuel profit per gallon, after card fees	26¢	35¢	41¢
Fuel profit	$187k	$420k	$689k
Store sales	$1.08M	$1.74M	$2.64M
Store profit on those sales (30% / 35% / 38%)	$324k	$609k	$1.00M
Store running costs: staff, utilities, upkeep	$624k	$768k	$900k
Profit before ground rent	**−$113k**	**$261k**	**$792k**
Ground rent to the owners	$95k	$95k	$95k
Profit after ground rent	**−$208k**	**$166k**	**$697k**
What the fuel company spends to build	$5.0M	$3.8M	$2.8M

To keep $10 a year for every $100 it spends, a fuel company would need about 150,000 gallons a month at realistic margins, about the national average. National 2024 averages were 150,157 gallons a month, a 43.5¢ margin per gallon (35.2¢ after card fees) and $248,201 of store sales a month (NACS State of the Industry). In 2025 margins averaged over 40¢ (NACS Magazine). Competition is heavy: thirteen stations sit within about 1.4 miles of the I-40 Sycamore View exit (iExit).

Ground rent is about $80k–$130k a year from a regional operator and $150k–$200k from a national brand; that range is a planning judgment. Murphy USA in Murfreesboro pays $200k a year. The lease must make the fuel company responsible for its tanks, spills and cleanup. Tennessee charges $125 a year per tank compartment; the state suspended those yearly fees for five years from 1 July 2021, so check their status now (TDEC). Gasoline tax is 27.4¢ a gallon (MTAS).

A typical 1,500 SF shop tenant

A 1,500 SF shop needs about $247k of sales a year to afford realistic rent. That suits service shops, not fashion. A common rule of thumb keeps rent plus building costs near 10% of a shop's sales; restaurants nationally spend about 5–6% (National Restaurant Association).

For a 1,500 SF shop	Worst	Realistic	Best
Rent per SF a year	$11.00	$13.50	$16.00
Share of building tax, insurance and upkeep per SF	$3.33	$2.95	$3.21

For a 1,500 SF shop	Worst	Realistic	Best
Total paid to the building each year	$21.5k	$24.7k	$28.8k
Sales needed a year, at 10%	$215k	$247k	$288k

Shops that fit these numbers and the event traffic: bridal, formalwear and tailoring; salons, nails and henna; bakeries and cafés; halal grocery and butcher; florists and event rentals; pharmacy and medical; phone and tax services. In the efficient plan the shops are larger bays that rent for about $0.50–1.00 per SF less. Flex tenants pay $6.00–$9.00 per SF; they are contractors, showrooms, light assembly and storage users who mostly need clear height, a roll-up door and parking.

What each business can afford to pay the building

The kids' playground can pay the rent the plans assume; an outside hall operator cannot. That is why the halls only make sense if the owners run them.

Business	What it can afford, realistic case	What the plans assume
Outside hall operator	No rent at all if it wants 15% a year on its own fit-out (about $3.6M after the landlord's help): the calculated rent is negative, about −$2.46 per SF. At 10% a year it could pay about $1.34 per SF.	$2.00 per SF from a low-rent user, in the lease-everything plan only. Best case up to the $8.00 per SF market ceiling.
Kids' playground	Up to about $6 per SF a year while still keeping 15% a year on its $1.1M	$4.50 per SF
Fuel company	Little: before any rent it keeps about $7 a year per $100 it spends at 100,000 gallons a month	$95k a year
1,500 SF shop	$13.50 per SF if it sells about $247k a year	$13.50 per SF

In the owner-run plans no rent changes hands for the halls. The halls' profit after building costs, about $445k a year in the realistic case, goes straight to the owners.

Assumptions and sources

Volumes, prices and cost shares are planning numbers built from the sources below, opened on 18 October 2026. They are not operator quotes; replace them with a signed operator's own numbers before committing money.

- **Hall bookings.** Events a year are planning assumptions; no reliable US survey of how often halls are booked was found. Each hall's 110 events a year in the realistic case means about 40 Saturdays plus Fridays, Sundays and weekday events.
- **Hall prices.** Prices come from Esplanade Memphis, The Columns, Marriott Memphis East and the Bartlett Oak Room. National wedding spending comes from The Knot.
- **Hall costs.** Catering costs run 28–35% of catering sales for food and 25–35% for labor (Galley). Profit levels come from BizBuySell. Southeast restaurant and kitchen build-outs run $250–450 per SF (Terrapin).
- **Who books.** Demand is weddings of every background plus corporate, community and celebration events. The size of one customer base, large Arab, Muslim and South Asian weddings, comes from the 2020 US Religion Census via Stacker: Shelby County and Davidson County. Regional halls are listed at Zola, Jackson MS.

- **Kids' playground.** The investment range comes from Kids Empire's franchise disclosure (Franzy). Local prices come from Urban Air Cordova.
- **Fuel.** Industry averages come from the NACS State of the Industry and NACS Magazine. Build costs come from MMCG, and taxes from MTAS. Tank fees are on TDEC's fees and new tanks pages. Nearby stations are counted on iExit. Murphy USA, Murfreesboro is a ground-rent example.
- **Shops.** Occupancy costs for restaurants come from the National Restaurant Association. The 10% figure is a rule of thumb.
- **Building costs per business.** Each business's share of tax, insurance and upkeep comes from the Sycamore Square model. The halls and shops use the efficient plan's share, about $2.95 per SF a year in the realistic case. The playground is carried at $3.40 / $3.40 / $3.00 per SF, close to the lease-everything plan's share.
- **Not included.** Loan payments, and each operator's own income taxes.

Public version: prices, fees and transaction terms are omitted. Everything here comes from public records, desk research and concept drawings; it is not legal, engineering or investment advice.